

M/S Mayur Sheetgrah Pvt. Ltd. v. U.P. Power Corporation Ltd. And Others

Allahabad High Court · Division Bench · 9 April 2014 · Writ - C No. 12545 of 2009 · **Writ disposed of; 24.02.2009 theft assessment set aside and remitted for a fresh order after objections to the MRI report**

HEADNOTE

A theft assessment under clause 8.1 of the U.P. Electricity Supply Code, 2005 cannot stand where the MRI report is supplied only along with the final order. Clause 8.1(a)(vii) requires that the MRI report be supplied where there is evidence of tampering. Where the assessing officer's own order recites that the MRI is now to be supplied and that clause 8.2(i) has not been complied with, yet finalises the demand in the same breath, the order violates natural justice. Following Whirlpool Corporation v. Registrar of Trade Marks, the statutory appeal is then no bar to the writ. The assessment dated 24 February 2009 is set aside and remitted for a fresh order after the consumer files objections to the MRI of 27 November 2008.

FACTUAL SUMMARY

M/s Mayur Sheetgrah Pvt. Ltd., a cold storage, held a sanctioned load from U.P. Power Corporation Ltd. Premises were checked on 23 and 27 November 2008; an FIR under Section 135 of the Electricity Act, 2003 was lodged against the Director. A provisional assessment of Rs. 47,19,834 on 1 December 2008 was revised to Rs. 28,19,340 on 23 January 2009. Writ Petition No. 6130 of 2009 was disposed of on 4 February 2009, directing that objections be decided by an officer other than respondent no. 3, with no coercive action meantime.

The Executive Engineer then passed the assessment dated 24 February 2009 for Rs. 26,86,316, challenged here. The petitioner said the MRI report had never been supplied before that order and that the same Executive Engineer had decided the matter contrary to the 4 February 2009 direction. An interim order of 4 March 2009 stayed the assessment on deposit of Rs. 50,000 and directed restoration within 24 hours. Supply had already been restored by the final hearing.

REUSABLE CONSTRUCTIONS

1. A theft assessment cannot stand where the MRI report is supplied only along with the final order; Clause 8.1(a)(vii) requires that the MRI report be supplied where there is evidence of tampering. ¶ 15-18, 21-24
2. An assessing officer cannot finalise a theft demand in the same order that records that Clause 8.2(i) has not been complied with and that further proceedings remain. ¶ 18
3. Where a theft assessment is passed in breach of natural justice, the statutory appeal is no bar to a writ (following Whirlpool Corporation v. Registrar of Trade Marks). ¶ 13-14, 19

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1(VII)

MRI report must be supplied before a theft assessment is finalised, not along with the final order

QUESTION

Can a theft assessment be finalised when the MRI report is supplied to the consumer only along with that final order?

HOLDING

No. Clause 8.1(a)(vii) imposes a statutory requirement that the MRI report be supplied where there is evidence of tampering. The supplementary counter affidavit and the 24.02.2009 order itself showed that the MRI downloaded on 27.11.2008 was supplied only with that order, which also directed the Executive Engineer to supply it. The Court held it could not see how the assessment was finalised by the same order, and that the order therefore violated natural justice. The 24.02.2009 assessment of Rs. 26,86,316 is set aside. The petitioner may file objections to the MRI within two weeks; respondent no. 3 is to consider those objections together with the replies already on record and pass a fresh assessment. ¶ 15-18, 21-24

QUALIFIER

The Court did not decide whether theft or the assessed quantum was made out.

FLAG Cited as para 8.1 (a) (vii); catalog key UP-2005::8.1(VII). The quoted text also refers to clause 5.6 testing on LT meter removal; this case turns on MRI supply, not a 5.6 laboratory test. Source PDF concatenates 2011–2014 listing and adjournment orders with the 9.4.2014 disposal (Ashok Bhushan and Ranjana Pandya, JJ.). That disposal is unnumbered; paras are sequential blocks of the 9.4.2014 order from 'Heard Shri Pramod Kumar Jain'.

HOLDING-UNIT · UP-2005::8.2

An assessment cannot be finalised in the same order that records clause 8.2(i) as still uncompleted

QUESTION

Can a theft assessment stand as final when the assessing officer's own order records that clause 8.2(i) has not been complied with and that further proceedings remain?

HOLDING

No. The 24.02.2009 order itself stated that paragraph 8.2(i) had not been complied with and that the Executive Engineer might now take further proceedings, yet it finalised the assessment at Rs. 26,86,316. That contradiction, with the simultaneous direction to supply the MRI report, vitiated the order. ¶ 18

FLAG The Court did not quote clause 8.2(i). Catalog key is UP-2005::8.2.

HOLDING-UNIT · EA2003::126

Statutory appeal is no bar where the theft assessment is in breach of natural justice

QUESTION

Must the consumer be relegated to the statutory appeal against a final theft assessment when the MRI report was not supplied before that assessment was finalised?

HOLDING

No. The licensee pressed a statutory appeal. The Court held it well established that, on a violation of natural justice, the petitioner cannot be compelled to avail the statutory remedy, and applied *Whirlpool Corporation v. Registrar of Trade Marks* (the three contingencies: fundamental rights, natural justice, want of jurisdiction or vires). ¶ 13-14, 19

FLAG The Court described the appeal as 'under section 126 of the Act of filing appeal'. The appeal against a section 126 assessment is section 127; not silently corrected. The 4.2.2009 order in WP 6130 of 2009 had treated the then-pending objections as under section 126(3).

PRINCIPLE TAGS

opportunity-before-final-assessment A theft assessment is vitiated if the MRI report, which clause 8.1(a)(vii) requires to be supplied where tampering is alleged, is furnished only along with the final order. Same MRI/testing-before-assessment cluster as SCJ-682. ¶ 15-18, 21-24

reasonable-opportunity-theft-assessment Supplying the MRI with the final order, while the order itself says clause 8.2(i) remains uncompleted and further proceedings are to be taken, is not a reasonable opportunity before a theft assessment is finalised. ¶ 18

s126-procedural-strictness-notice-and-hearing Where the MRI was not supplied before the assessment was finalised, the writ is maintainable despite the statutory appeal. *Whirlpool*: alternative remedy is no bar on a breach of natural justice. Lead authorities: *Whirlpool Corporation v. Registrar of Trade Marks*. ¶ 19

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE 24.02.2009 ORDER WAS VOID BECAUSE THE SAME EXECUTIVE ENGINEER DECIDED IT CONTRARY TO THE 4.02.2009 DIRECTION

The 4.02.2009 order in WP 6130 of 2009 required an officer other than respondent no. 3 to decide the objections. The Court recorded the licensee's submission that the incumbent Executive Engineer had changed, said it was not necessary to enter into the other issues, and remitted to respondent no. 3 for a fresh order. ¶ 20-21

NOT DECIDED — MERITS OF THE THEFT ALLEGATION AND THE QUANTUM OF RS. 26,86,316

Left to the fresh assessment after objections to the MRI of 27.11.2008. ¶ 21-24

NOT DECIDED — THE SECTION 135 FIR AGAINST THE DIRECTOR

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (5) ALJ 383 Allahabad High Court	Relied on by the petitioner for the proposition that, where the MRI was not served, the assessment is in violation of natural justice and the consumer cannot be insisted upon to take the statutory remedy.	Cited by the petitioner in rejoinder; the Court decided the maintainability point on Whirlpool rather than by applying this decision in terms.	Petitioner	Relied on
<i>Whirlpool Corporation v. Registrar of Trade Marks</i> 1998 (8) SCC 1 Supreme Court	Alternative statutory remedy does not bar a writ under Article 226 where there has been a violation of natural justice (or enforcement of fundamental rights, or want of jurisdiction / vires). Exhaustion is a rule of policy, convenience and discretion, not of law.	Quoted (paras 14–20 of the report) and applied to entertain the writ despite the statutory appeal, the 24.02.2009 assessment having been passed in breach of natural justice.	Court	Applied
<i>Rashid Ahmed v. Municipal Board, Kairana</i> Supreme Court	Existence of an adequate legal remedy is a factor in the grant of writs, not an absolute bar.	Noticed within the quoted Whirlpool extract.	Court	Referred
<i>K.S. Rashid & Son v. Income Tax Investigation Commission</i> Supreme Court	Where an alternative remedy exists it is ordinarily a sound exercise of discretion to refuse a writ, unless there are good grounds to the contrary.	Noticed within the quoted Whirlpool extract.	Court	Referred
<i>State of U.P. v. Mohd. Nooh</i> Supreme Court	The rule requiring exhaustion of statutory remedies before a writ is one of policy, convenience and discretion, not of law; certiorari has issued despite other adequate legal remedies.	Noticed within the quoted Whirlpool extract.	Court	Referred
<i>A.V. Venkateswaran, Collector of Customs v. Ramchand Sobhraj Wadhwani</i> Supreme Court	The exceptions to the alternative-remedy rule are not exhaustive; a discretion vests in the High Court to entertain a petition notwithstanding an adequate alternative remedy.	Noticed within the quoted Whirlpool extract.	Court	Referred
<i>Calcutta Discount Co. Ltd v. ITO, Companies Distt.</i> Supreme Court	Where an executive authority acts without jurisdiction and thereby subjects a person to lengthy proceedings and harassment, the High Court may issue prohibition or certiorari.	Noticed within the quoted Whirlpool extract.	Court	Referred